

UK CAPITAL GAINS TAX CALCULATOR ·
THE PLAIN-ENGLISH TAX SERIES

The Capital Gains Tax Survival Pack

Work out what you owe, claim every relief you're entitled to, and never miss the 60-day deadline.

The 2026/27 rates · the 60-day property rule · how to work out a gain · shares & crypto · the reliefs that cut your bill · how to report and pay.

Updated June 2026 · For the 2026/27 tax year · ukcapitalgaintaxcalculator.co.uk

Read this first

Capital Gains Tax has a reputation for being fiddly, and some of that is fair. But most of the confusion comes from not knowing the order to think about things in. Get that straight and it's very manageable.

You'll pay CGT when you sell — or give away — something that's gone up in value: a second property, shares held outside an ISA, crypto, a business, or valuable possessions. The crucial thing to hold onto from the start is that you're taxed on the **gain**, not on the money you receive. Sell a flat for £280,000 that you bought for £200,000 and the tax is on the £80,000 of growth, less your costs and allowances — never on the full £280,000.

This pack walks you through it in a sensible order: the urgent 60-day deadline first, then the numbers, then how to actually calculate a gain, the special rules for shares and crypto, the reliefs that genuinely cut your bill, and how to report and pay. Every figure is for the 2026/27 tax year, and the sources are listed at the back so you can check anything yourself.

If you've just sold a property that isn't your home, read page 4 today. You may have only **60 days** from completion to report and pay, with automatic penalties if you miss it. It's the single most common — and most expensive — CGT mistake.

What's inside

1. The big picture — when CGT applies
2. The 60-day rule — the deadline that catches people out
3. Your 2026/27 rates and allowance
4. What's taxable, and what's completely exempt
5. How to work out your gain (with a worked example)
6. Selling shares and crypto — the matching rules
7. Your main home — Private Residence Relief
8. Legal ways to reduce your CGT bill
9. How and when to report and pay
10. Common, costly mistakes
11. When to get help, and your sources to check

When Capital Gains Tax applies

CGT is triggered by a "disposal" — and disposal means more than just selling for cash.

You make a disposal when you **sell** something, **give it away**, **swap** it for something else, or **get compensation** for it (for example, an insurance payout for a destroyed asset). Each of these can create a taxable gain, even where no money changes hands — which surprises people who gift a property or swap one cryptocurrency for another.

The assets that most often create a CGT bill

- property that isn't your main home — a second home, a buy-to-let, or land;
- shares and funds held *outside* an ISA or pension;
- cryptoassets;
- a business, or shares in your own company;
- valuable personal possessions worth more than £6,000 (art, antiques, jewellery), other than your car.

The principle to remember

Disposal proceeds – what you paid – allowable costs – your tax-free allowance = **taxable gain**

Everything else in this pack is detail hanging off that one line. Your rate then depends on what kind of taxpayer you are and where the gain sits on top of your income — which is the next thing we'll pin down.

The 60-day property rule

This is the rule that turns a manageable tax bill into a penalty. If you sell UK residential property at a gain, the clock starts the day it completes.

Since 27 October 2021, if you're a UK resident and you sell a residential property that **isn't** your main home — a second home, a buy-to-let, or an inherited property you've since sold — and there's tax to pay, you must **report the gain and pay the tax within 60 days of completion**. This is separate from your normal Self Assessment return, and it's done through HMRC's online "Capital Gains Tax on UK property account."

Miss it and the penalties are automatic. A late return brings an immediate £100 penalty, with more added the longer it's outstanding, plus interest on the unpaid tax. None of that depends on how much you owe — even a modest gain reported late is penalised.

What to do the moment a sale completes

- 1 Work out roughly what's due**
Use the steps on page 6 (or the calculator on the site) so you know whether there's a gain to report at all.
- 2 Set up your UK Property Account**
Through Government Gateway on gov.uk. Don't leave registering until day 59 — it can take time to set up.
- 3 Report and pay within 60 days**
Submit the return and pay the estimated CGT. You'll still include the disposal on your annual Self Assessment return afterwards, which trues everything up.

Gains on shares, crypto and most other assets are *not* subject to the 60-day rule — they go through Self Assessment (see page 9). The 60-day rule is specific to UK residential property.

Your 2026/27 rates and allowance

Two things decide your bill: the tax-free allowance, and which rate applies. Both are below.

The tax-free allowance

Every individual has an **Annual Exempt Amount of £3,000** for 2026/27 — the first £3,000 of total gains in the year is tax-free. It's worth knowing how far this has fallen: it was £12,300 in 2022/23 and £6,000 in 2023/24, so far more people now have a bill than did a couple of years ago.

The rates

ASSET	BASIC-RATE BAND	HIGHER / ADDITIONAL
Residential property	18%	24%
Shares, crypto and other assets	18%	24%
Business Asset Disposal Relief		18% (up to £1m lifetime)

Since the October 2024 Budget the rates for shares and other assets were aligned with property at 18%/24%. Business Asset Disposal Relief rose to 18% from 6 April 2026 (it was 14% in 2025/26 and 10% before that).

Which rate applies to you — the part people miss

Your CGT rate isn't fixed by the gain alone. You **stack the gain on top of your taxable income**. The part of the gain that still fits within your unused basic-rate band is taxed at 18%; anything above is taxed at 24%.

Quick example. The basic-rate band runs to £50,270. If your income is £40,000, you've got £10,270 of basic-rate band left, so the first £10,270 of your taxable gain is at 18% and the rest at 24%. A higher-rate taxpayer pays 24% on the whole taxable gain.

What's taxable, and what's exempt

Plenty of disposals create no CGT at all. Knowing which is which saves you both tax and needless worry.

Usually taxable

- Second homes, buy-to-lets and land that isn't your main residence.
- Shares, funds and investment trusts held outside an ISA or pension.
- Cryptoassets — including swapping one coin for another, or spending crypto.
- The sale of a business or shares in your own company.
- Personal possessions worth more than £6,000 (excluding your car).

Exempt — no CGT to pay

- Your **only or main home**, in most cases (Private Residence Relief — see page 8).
- Anything held in an **ISA or pension**.
- Your **car** (a private vehicle).
- UK **government gilts** and qualifying corporate bonds.
- Transfers between **spouses or civil partners** living together (treated as no gain, no loss).
- Gifts to a **UK-registered charity**.
- Personal possessions you sell for £6,000 or less.

The spouse exemption is genuinely useful. Because transfers between spouses and civil partners are tax-free, a couple effectively has two £3,000 allowances and can move an asset into joint names before selling to use both. More on this on page 8.

How to work out your gain

Start with the proceeds, strip out everything you're allowed to deduct, then take off your allowance. Here it is on a real example.

What you can deduct ("allowable costs")

- what you originally paid for the asset (your "base cost");
- the costs of buying it — for property, that includes Stamp Duty and legal fees;
- the costs of selling it — estate agent and legal fees;
- **improvement** costs that added value and are still reflected in the asset (an extension, a new kitchen) — but *not* ordinary repairs and maintenance.

Worked example — a buy-to-let

Sale price	£280,000
Less original purchase price	-£200,000
Less buying costs (legal, Stamp Duty)	-£3,000
Less selling costs (agent, legal)	-£5,000
Less improvement (extension)	-£10,000
Gain	£62,000
Less Annual Exempt Amount	-£3,000
Taxable gain	£59,000

If you're a higher-rate taxpayer, the CGT is 24% of £59,000 = **£14,160**, due within 60 days of completion. A basic-rate taxpayer would pay 18% on the part of the gain that fits in their remaining basic-rate band, and 24% on the rest.

Keep every receipt and completion statement — those allowable costs are what shrink the gain, and you'll need the evidence if HMRC asks.

Selling shares and crypto

Shares and crypto have their own twist: when you've bought the same thing at different prices over time, which ones did you actually sell? HMRC answers that with strict "matching rules."

The matching order

When you sell, HMRC matches the disposal against your purchases in this exact order:

- 1 Same-day rule**
First, against anything of the same kind you bought on the *same day*.
- 2 The 30-day "bed and breakfast" rule**
Then against anything you buy back in the *next 30 days*. This stops people selling to bank a loss and immediately rebuying the same holding.
- 3 The Section 104 pool**
Everything else comes from your "pool" — a running, weighted-average cost of all the rest of that holding. In practice, most disposals are matched here.

Worked example — the pool

You hold 1,000 shares in one company, bought over time for £8,000 in total — an average of £8 each. You sell 500 for £12 each (£6,000). The allowable cost is $500 \times £8 = £4,000$, so your gain is **£2,000**. If you've no other gains that year, it's covered by your £3,000 allowance and there's nothing to pay.

Crypto works the same way. Each cryptoasset has its own Section 104 pool, and the same-day and 30-day rules apply. Remember that *swapping* one coin for another, or spending crypto, is a disposal too — not just cashing out to pounds.

Your main home — Private Residence Relief

The reason most people never pay CGT on their house. But the relief has edges worth understanding, especially if the property hasn't always been your home.

When you sell your **only or main home**, Private Residence Relief usually means there's no CGT to pay at all, provided it's genuinely been your main residence throughout and you haven't used part of it exclusively for business or let it out.

Where a bill can creep in

- You let the property out for a period, or it was a second home before becoming your main one.
- Part of it was used *exclusively* for business.
- The garden or grounds are very large (broadly, beyond half a hectare).
- You bought it mainly to do up and sell at a profit.

Where the relief is only partial, the gain is split across the time you lived there (exempt) and the time you didn't (potentially taxable).

The final-period rule. The last **9 months** of ownership always qualify for relief if the property was your main home at some point — helpful if there's a gap between moving out and completing the sale. (It's 36 months if you're disabled or move into care.) Lettings relief still exists but is now restricted to cases where you shared the home with your tenant.

Legal ways to reduce your CGT bill

None of this is aggressive avoidance — these are the ordinary, intended ways the system lets you keep your tax down.

Use your allowance every year

The £3,000 allowance can't be carried forward — use it or lose it. Spreading disposals across two tax years can mean two allowances instead of one.

Use both partners' allowances

Transfer an asset (or a share of it) to a spouse or civil partner before selling — tax-free between you — so two £3,000 allowances and potentially the lower 18% band apply.

"Bed and ISA" or "bed and SIPP"

Sell a holding and rebuy it inside an ISA or pension. Future growth is then sheltered from CGT entirely. (Rebuying the same shares in your own name within 30 days won't work — the matching rules block it — but rebuying inside an ISA is fine.)

Offset and carry forward losses

Losses on other assets reduce your gains in the same year, and unused losses can be carried forward to future years — but you usually have to **report a loss to HMRC to bank it** (generally within four years of the end of the tax year). Don't let losses go unclaimed.

Business Asset Disposal Relief

If you're selling all or part of a qualifying business you've held for at least two years, BADR can tax the gain at 18% (2026/27) on up to £1 million of lifetime gains. Worth specialist advice given the conditions.

A CGT planning checklist

A few minutes of thought *before* you dispose of something can save far more than it does afterwards — once you've sold, most of these doors are closed. Run through this first.

- ☐ **Check whether you've used this year's £3,000 allowance.** If not, it's available; if you've other gains planned, think about which to realise this year.
- ☐ **Consider splitting the disposal across two tax years.** Selling part before 6 April and part after can use two years' allowances and two basic-rate bands.
- ☐ **Could a spouse or civil partner hold a share?** Transferring before the sale (tax-free between you) brings a second £3,000 allowance and possibly the 18% rate into play.
- ☐ **Have you any losses to bank or use?** Realising a standing loss in the same year — or claiming past losses — can offset the gain.
- ☐ **Would "bed and ISA" or "bed and SIPP" help?** Moving holdings into a tax shelter shields future growth from CGT entirely.
- ☐ **For property: have you gathered every allowable cost?** Purchase price, Stamp Duty, legal fees, agent fees and genuine improvements — with receipts.
- ☐ **For a business sale: do you meet the Business Asset Disposal Relief conditions?** The two-year qualifying period in particular — check before you commit.
- ☐ **Do you know your deadline?** Residential property: 60 days from completion. Everything else: the Self Assessment deadline.

The golden rule: CGT planning is something you do *before* the disposal, not after. Once contracts are exchanged, your options narrow sharply — so reach for this page at the "thinking about selling" stage.

Inherited assets and gifts

Inheriting something, or giving it away, both have their own CGT logic — and both catch people out because the tax can arrive at a different time than they expect.

If you inherit an asset

You don't pay Capital Gains Tax simply for *inheriting* something — any Inheritance Tax is dealt with by the estate. What matters for CGT is what happens **later**: your "base cost" becomes the asset's **market value at the date of death** (the probate value). If you sell it afterwards, your gain is measured from that value, not from what the person originally paid.

Example. You inherit shares valued at £40,000 for probate. Two years later you sell them for £52,000. Your gain is £12,000 — measured from the £40,000 probate value, not from whatever the deceased paid decades ago.

If you give an asset away

Giving something away (other than to your spouse or civil partner, or a charity) counts as a **disposal at market value** for CGT — even though no money changes hands. So gifting a buy-to-let to an adult child can create a CGT bill for *you*, the giver, based on the property's value on the day you give it.

Gift Holdover Relief can, in certain cases — chiefly gifts of qualifying business assets, or gifts that trigger an immediate Inheritance Tax charge — let you defer the gain so the person receiving the asset takes it on instead. The conditions are specific, so take advice before relying on it.

Just sorting out an estate? Our sister guide on probate at SettleProbate.co.uk walks through the wider process of dealing with someone's affairs.

How and when to report and pay

There are two routes, and which one you use depends entirely on what you sold.

WHAT YOU SOLD	HOW TO REPORT
UK residential property (not your main home)	Through the Capital Gains Tax on UK property account — report and pay within 60 days of completion. Also include it on your Self Assessment return afterwards.
Shares, crypto, other assets	Through Self Assessment for the relevant tax year. You can also use HMRC's "real-time" CGT service to report sooner if you prefer.

Records to keep

- What you paid, and when, with contracts or completion statements.
- All allowable costs — buying, selling and improvement — with receipts.
- For shares and crypto: a full transaction history, so your Section 104 pool is accurate.
- Any valuations (for gifts or inherited assets).

If you normally do a tax return, a property gain still needs the 60-day report first — you can't simply wait for the annual return. The two systems run alongside each other.

AVOID THESE

Common, costly mistakes

Almost every one of these is avoidable once you know it's there.

Missing the 60-day property deadline

The most expensive error of all — automatic penalties and interest, regardless of the size of the gain.

Forgetting allowable costs

Buying, selling and genuine improvement costs all reduce the gain. Leave them out and you overpay.

Not realising a swap or gift is a disposal

Gifting a property (other than to a spouse) or swapping one crypto for another can trigger CGT even though no cash arrived.

Letting losses go unclaimed

Losses can shelter future gains — but usually only if you report them to HMRC in time.

Using the wrong rate

Stack the gain on your income to see how much is at 18% and how much at 24%; don't assume one flat rate.

Assuming your home is automatically exempt

If it's been let, used for business, or wasn't always your main home, part of the gain may be taxable.

When to get help — and your sources

Many gains are straightforward to report yourself. Some genuinely warrant an accountant.

Worth getting advice if...

- you're selling a business and want to use Business Asset Disposal Relief;
- the property has a complicated history (let, inherited, jointly owned, or part-business);
- you have large or numerous share/crypto disposals and the pooling is getting complex;
- you're a non-resident, or the asset is overseas.

Free, official places to check everything in this pack

- [gov.uk](#) — Capital Gains Tax (overview, rates, allowances and how to report).
- [gov.uk](#) — Report and pay Capital Gains Tax on UK property (the 60-day service).
- [gov.uk](#) — Tax when you sell shares, and the HMRC Capital Gains Manual (the share-identification rules, e.g. CG51560).
- [gov.uk](#) — Tax on cryptoassets.
- Your figure for a specific sale: the calculator at [ukcapitalgainstaxcalculator.co.uk](#).

Figures in this pack are drawn from [gov.uk/HMRC](#) guidance and the House of Commons Library briefing on Capital Gains Tax, current for the 2026/27 tax year. Always confirm the live position on [gov.uk](#) before you file.

About this pack. Published by UK Capital Gains Tax Calculator ([ukcapitalgainstaxcalculator.co.uk](#)) to help people handle CGT calmly and correctly. Updated June 2026 for the 2026/27 tax year.

Important — please read. This pack is general information about how UK Capital Gains Tax works. It is **not** personalised tax, accounting or financial advice and does not create any professional relationship. Tax rates, allowances, reliefs and deadlines change — always confirm the current position on [gov.uk](#) or with a qualified accountant before acting. While care has been taken to ensure accuracy at the date above, UK Capital Gains Tax Calculator accepts no liability for any action taken, or not taken, on the basis of this pack. If your situation is complex, take professional advice.

© 2026 UK Capital Gains Tax Calculator. Licensed for your personal use. Please don't redistribute or resell.